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Book - 9928 Pg - 9276-9283
Gary W. Ott
Recorder, Salt Lake County, UT
FIRST AMERICAN TITLE PARK CITY
BY: eCASH, DEPUTY - EF 8 P.

When recorded return to:
A. John Davis, Esq.
Holland & Hart LLP
222 South Main, Suite 2200
Salt Lake City, UT 84101

Fatco 5357916

TRUST DEED, SECURITY AGREEMENT AND ASSIGNMENT OF RENTS

THIS TRUST DEED, SECURITY AGREEMENT AND ASSIGNMENT OF RENTS ("Trust Deed"), is made this 2nd day of June, 2011, between Nathan Trombley and Lize Trombley, as joint tenants, whose address is 1323 Calloway Drive Heber City, Utah 84032, collectively referred to herein as "Trustor," First American Title Insurance Company, as "Trustee," and P.G.L.C., LLC, a Utah limited liability company, whose address is 2025 Mahre Drive, Park City, UT 84098, as "Beneficiary."

W I T N E S S E T H:

THAT TRUSTOR DOES HEREBY IRREVOCABLY GRANT, BARGAIN, SELL AND CONVEY TO TRUSTEE IN TRUST WITH POWER OF SALE, the following described property situated in Salt Lake County, State of Utah:

See legal description attached hereto as Exhibit "A" and incorporated herein by reference.

Together with all buildings, fixtures, improvements and personal property thereon, all things securely fastened to said improvements, and all water rights, rights of way, easements, rents, issues, profits, income, tenements, hereditaments, privileges and appurtenances thereunto belonging, now or hereafter acquired, used or enjoyed with said property, or any part thereof, SUBJECT, HOWEVER, to the right, power and authority hereinafter given to and conferred upon the Beneficiary to collect and apply such rents, issues, and profits, and subject to a present security interest which is hereby granted by the Trustor (debtor) to the Beneficiary (secured party) in all fixtures, improvements, and personal property now or hereafter acquired, used or enjoyed with, installed in, affixed or attached to said property or any part thereof, and in Trustor's (debtor's) expectancy to acquire equipment or goods which may be installed in, affixed or attached to said real estate and become fixtures or improvements during the term of the indebtedness secured herein. With respect to said security interest, Trustor agrees to execute or procure any and all documents Beneficiary may deem reasonably necessary from time to time in order to protect Beneficiary's security interest herein granted, including but not by way of limitation, security agreements, financing statements and continuation statements in form satisfactory to Beneficiary, and Trustor will pay all costs of filing or recording the same.

FOR THE PURPOSE OF SECURING, as a first position lien, (1) the performance of each agreement of Trustor herein; and, (2) the performance and payment by Trustor of Trustor's obligations under that certain Trust Deed Note, of even date herewith, in the original principal amount of $1,800,000.00, together with interest thereon as therein provided.

TO PROTECT THE SECURITY OF THIS TRUST DEED, AND FOR OTHER PURPOSES, TRUSTOR AGREES:

1. To keep said property in good condition and repair; to restore promptly and in good and workmanlike manner any building which may be damaged or destroyed thereon; to comply with all laws, covenants and restrictions affecting said property; not to commit or permit waste thereof; not to commit, suffer or permit any act upon said property in violation of law; to do all other acts which from the character or use of said property may be reasonably necessary, the specific enumerations herein not excluding the general. Trustee, upon presentation to it of an affidavit signed by Beneficiary, setting forth facts showing a default by Trustor under this numbered paragraph, is authorized to accept as true and conclusive all facts and statements therein, and to act thereon as provided in this instrument, and as allowed by law.

2. To provide and maintain insurance of such type or types and amounts as Beneficiary may reasonably require, on the improvements now existing or hereafter erected or placed on said property. Such insurance shall be carried in companies approved by Beneficiary (such approval not to be unreasonably withheld, delayed or conditioned) with loss payable clauses in favor of and in form reasonably acceptable to Beneficiary. In event of loss, Trustor shall give immediate notice to Beneficiary, who may make proof of loss, and each insurance company concerned is hereby authorized and directed to make payment for such loss directly to Beneficiary instead of to Trustor and Beneficiary jointly, and the insurance proceeds, or any part thereof, shall be applied by Beneficiary to the restoration or repair of the property damaged or to prepayment of all or a portion of the outstanding balance under the Note, such election to be in the reasonable discretion of the Beneficiary given the extent of the loss and the economic feasibility of restoring the loss.

3. To deliver to, pay for and maintain with Beneficiary until the indebtedness secured hereby is paid in full, such evidence of title as Beneficiary may reasonably require, including policies of title insurance and any extensions or renewals thereof, or supplements thereto, and including such evidence of title and proof of the absence of other security interests as Beneficiary may from time to time reasonably require in regard to fixtures and equipment and goods now held or subsequently acquired which may become fixtures.

4. To execute or procure any and all documents Beneficiary may deem reasonably necessary from time to time in order to protect Beneficiary's security interest and priority in said property, including all fixtures and improvements now present thereon or hereafter acquired, used or enjoyed with, or installed in, affixed or attached to, said property or any parts thereof, including but not by way of limitation, security agreements, financing statements, continuation statements, and Consents or Subordination Agreements in a form which will satisfy the provisions of the Uniform Commercial Code.

5. To protect and hold Beneficiary safe from any expense and from all damage due to diminution in value of said property or otherwise, resulting from claims of any other parties including other security interests in fixtures and improvements now or hereafter acquired, used or enjoyed with, or installed in, affixed or attached to said property or any part thereof.

6. To appear in and defend any action or proceeding purporting to affect the security hereof, the title to said property, or said fixtures now or hereafter acquired, or the rights or powers of Beneficiary or Trustee at Trustor's sole expense.

7. To pay or cause to be discharged at least ten (10) days before delinquency all taxes and assessments affecting said property, together with costs or penalties thereon, including all rents, assessments and charges for water appurtenant to or used in connection with said property; to pay and discharge when due all encumbrances, charges, and liens on said property or any part thereof which at any time appear to be prior or superior hereto; and to pay all costs, fees, and expenses of this Trust.

8. Should Trustor fail to make payment or to do any act as herein provided, then Beneficiary or Trustee, but without obligation so to do and without notice to or demand upon Trustor and without releasing Trustor from any obligation hereof, may: make or do the same in such manner and to such extent as either may deem reasonably necessary to protect the security hereof, Beneficiary or Trustee being authorized to enter upon said property for such purposes; commence, appear in and defend any action or proceeding purporting to affect the security hereof or the powers or rights of Beneficiary or Trustee; pay, purchase, contest, or compromise any encumbrance, charge or lien which in the judgment of either appears to be prior or superior hereto; and in exercising any such powers, incur any liability, expend whatever amounts in its discretion it may deem reasonably necessary therefor, including cost of evidence of title and employment of counsel, and payment of reasonable attorney's fees.

9. To pay immediately and without demand all sums expended by Beneficiary or Trustee pursuant to this Trust Deed with interest from date of expenditure at the rate set forth in the Note secured hereby per annum until paid, and the payment thereof shall be secured hereby.

10. To pay to Beneficiary a late charge in an amount equal to the greater of the rate set forth in the promissory note secured hereby or five percent (5%) of the late payment but in no event to exceed the maximum rate allowable by law, on any sums not paid within ten (10) days after the due date.

IT IS MUTUALLY AGREED THAT:

11. Should said property or any part thereof be taken or damaged by reason of any public improvement or condemnation proceeding, or damaged by fire, or earthquake, or in any other manner, Beneficiary shall be entitled to all compensation, awards, and other payments or relief therefor, and shall be entitled, at its option, to commence, appear in and prosecute in its own name, any action or proceedings, or to make any compromise or settlement, in connection with such taking or damage. All such compensation, awards, damages, rights of action and proceeds, including the proceeds of any policies of fire and other insurance affecting said property, are hereby assigned to Beneficiary, who may, after deducting all its expenses, including attorney's fees, apply the same on any indebtedness secured hereby, and in such order as Beneficiary may determine, or at its option, the entire amount so collected, or any part thereof, may be released to Trustor in such manner and upon such conditions as Beneficiary may impose, for the purpose of making repairs, alterations or improvements upon said property, or for any

other purpose whatever, without liability upon Beneficiary for such release (neither Trustee nor Beneficiary being obligated to see to the proper application thereof), in which event the amount so released shall not be deemed a payment upon the indebtedness secured hereby. Trustor agrees to execute such further assignments of any compensation, award, damages, and rights of action and proceeds as Beneficiary or Trustee may reasonably require.

12. Without affecting the liability of any person, including Trustor, for the payment of any indebtedness secured hereby, or the lien of this Trust Deed on the remainder of the property for the full amount of any indebtedness unpaid, Beneficiary and Trustee are respectively empowered as follows: Beneficiary may from time to time and without notice; (a) release any person liable for the payment of any of the indebtedness, (b) extend the time or otherwise alter the terms of payment of any of the indebtedness, (c) substitute or release any property (or any part thereof) securing the indebtedness; Trustee may, at any time, and from time to time, upon the written request of Beneficiary (a) consent to the making of any map or plat of the property, (b) join in granting any easement or creating any restriction thereon, (c) join in any subordination or other agreement affecting this Trust Deed or the lien or charge thereof, (d) reconvey, without warranty, all or any part of the property.

13. Upon written request of Beneficiary stating that all sums secured hereby have been paid, and upon surrender of this Deed and said note to Trustee for cancellation and retention and upon payment of his fees, Trustee shall reconvey, without warranty, the property then held hereunder. The recitals in such reconveyance of any matters or facts shall be conclusive proof of the truthfulness thereof. The grantee in such reconveyance may be described as "the person or persons entitled thereto." Trustor agrees to pay reasonable Trustee's fees for any of the services mentioned in this paragraph 13 and the preceding paragraph 12 or elsewhere hereunder, except as herein otherwise provided.

14. The indebtedness secured by this Trust Deed may now or hereafter be further secured by mortgages, trust deeds, pledges, contracts of guaranty, security agreements, assignments of rent or other additional securities. Beneficiary or Trustee may, at the option of both or either of them, exhaust any one or more of said securities as well as the security hereunder, either concurrently or independently, and in such order as they or either of them may determine, and apply the proceeds received upon the indebtedness secured hereby without affecting the status of, or waiving any right to exhaust all or any other security, including the security hereunder, and without waiving any breach or default or any right or power whether exercised hereunder or contained herein, or in any such other security.

15. As additional security, Trustor hereby assigns to Beneficiary, during the continuance of this trust, all rents, issues, royalties, and profits of the property affected by this Trust Deed and of any personal property located thereon. Until Trustor shall default in the payment or performance of any obligation secured hereby or in the performance of any agreement hereunder, Trustor shall have the right to collect such rents, issues, royalties, and profits earned prior to default as they become due and payable. If Trustor shall default as aforesaid, Trustor's right to collect any of such moneys shall cease and Beneficiary shall have the right, with or without taking possession of the property affected hereby, to collect all rents, royalties, issues and profits. Failure or discontinuance of Beneficiary at any time or from time to time to collect any such moneys shall not in any manner affect the subsequent enforcement by

Beneficiary of the right, power and authority to collect the same. Nothing herein contained, nor the exercise of the right by Beneficiary to collect, shall be or be construed to be, an affirmation by Beneficiary of any tenancy, lease or option, nor an assumption of liability under, nor a subordination of the lien or charge of this Trust Deed to any such tenancy, lease or option.

16. Upon any default by Trustor hereunder or upon the default by Trustor in the performance of any obligation secured hereby, Beneficiary may at any time without notice either in person, by agent, or by a receiver to be appointed by a court (Trustor hereby consenting to the appointment of Beneficiary as such receiver), and without regard to the adequacy of any security for the indebtedness hereby secured, enter upon and take possession of said property or any part thereof, in its own name sue for or otherwise collect said rents, issues, and profits, including those past due and unpaid, and apply the same, less costs and expenses of operation and collection, including reasonable attorney's fees, upon any indebtedness secured hereby and in such order as Beneficiary may determine. Trustor expressly agrees that Beneficiary shall not be required to show that the Property is in danger of being lost, removed or injured or that the Property is insufficient to discharge the debt secured hereby in order to obtain the appointment of a receiver and Trustor and Beneficiary agree that, to the fullest extent allowable, this provision is intended to control over any judicial rules or presumptions to the contrary, and Trustor expressly waives the benefit of any such rule or presumption.

17. The entering upon and taking possession of said property, the collection of such rents, issues and profits or the proceeds of fire and other insurance policies, or compensation or awards for any taking or damage of said property, and the application or release thereof as aforesaid, shall not cure or waive any default or notice of default hereunder or invalidate any act done pursuant to such notice.

18. The failure on the part of Beneficiary to promptly enforce any right hereunder shall not operate as a waiver of such right and the waiver by Beneficiary of any default shall not constitute a waiver of any other or subsequent default.

19. Time is of the essence hereof. Upon default by Trustor in the payment or performance of any obligation secured hereby or in the performance of any agreement hereunder, all sums secured hereby shall immediately become due and payable at the option of Beneficiary. In the event of such default, Beneficiary may execute or cause Trustee to execute a written notice of default and of election to cause said property to be sold to satisfy the obligations hereof, and Trustee shall file such notice for record in each county wherein said property or some part or parcel thereof is situated. Beneficiary shall also deposit with Trustee, the note and all documents evidencing expenditures secured hereby.

20. If Beneficiary invokes the power of sale, Trustee and Beneficiary shall take such action regarding notice of sale and shall give such notices to Trustor and to other persons as applicable law may require. After the lapse of such time as may then be required by law following the recordation of said notice of default, and notice of default and notice of sale having been given as then required by law, Trustee, without demand on Trustor, shall sell said property on the date and at the time and place designated in said notice of sale, either as a whole or in separate parcels, and in such order as it may determine (but subject to any statutory right of Trustor to direct the order in which such property, if consisting of several known lots or parcels,

shall be sold), at public auction to the highest bidder, the purchase price payable in lawful money of the United States at the time of sale. The person conducting the sale may, for any cause he deems expedient, postpone the sale from time to time as permitted by law. Trustee shall execute and deliver to the purchaser his Deed conveying said property so sold without any covenant or warranty, express or implied. The recitals in the Trustee's Deed of any matters or facts shall be conclusive proof of the truthfulness thereof. Any person, including the Beneficiary, may bid at the sale. Upon payment in full of the sums secured hereby, Trustee shall, upon request of Beneficiary, issue a reconveyance of this Trust Deed. The grantee in such reconveyance may be described as "the person or persons legally entitled thereto." Trustee shall apply the proceeds of the sale in the following order: (1) reasonable costs and expenses of the sale, including but not limited to, reasonable Trustee's and attorney's fees; (2) cost of any evidence of title procured in connection with such sale; (3) all sums expended under the terms hereof, not then repaid, with accrued interest at the rate set forth in the Note secured hereby from date of expenditure; (4) all other sums then secured hereby; and (5) the remainder, if any, to the person or persons legally entitled thereto, or the Trustee, in his discretion, may deposit the balance of such proceeds with the Clerk of the district court of the county in which the sale took place.

21. Trustor agrees to surrender possession of the hereinabove described Trust property to the purchaser at the aforesaid sale, immediately after such sale, in the event such possession has not previously been surrendered by Trustor.

22. Upon the occurrence of any default hereunder, Beneficiary shall have the option to declare all sums secured hereby immediately due and payable and foreclose this Trust Deed in the manner provided by law for the foreclosure of mortgages on real property and Beneficiary shall be entitled to recover in such proceedings all costs and expenses incident thereto, including a reasonable attorney's fee in such amount as shall be fixed by the court.

23. Except as may be otherwise provided herein, Trustor agrees to pay Beneficiary or Trustee the costs and expenses, including a reasonable attorney's fee, incurred by either of them in instituting, prosecuting or defending any court action in which Trustor does not prevail, if such action involves the interpretation hereof or performance hereunder by a party hereto or the breach of any provision hereof by a party hereto, including but not limited to an action to obtain possession of the above described trust property after exercise of the power of sale granted hereunder.

24. This Trust Deed shall apply to, inure to the benefit of, and bind all parties hereto, their heirs, devisees, administrators, executors, successors and assigns. All obligations of Trustor hereunder, if more than one, are joint and several. The term "Beneficiary" shall mean the owner and holder, including any pledgee, of the note secured hereby. In this Trust Deed, whenever the context so requires, the masculine gender includes the feminine and/or neuter, and the singular number includes the plural.

25. Trustee accepts this Trust when this Trust Deed, duly executed and acknowledged, is made a public record as provided by law. Trustee is not obligated to notify any party hereto of pending sale under any other Trust Deed or of any action or proceeding in which Trustor, Beneficiary, or Trustee shall be a party unless brought by Trustee.

26. Trustor requests that one copy of any notice of default and of any notice of sale required hereunder or by applicable law be mailed to it (collectively, if more than one) at the address hereinbefore set forth, and notice of any change of Trustor's address shall only be effective if given by Trustor to both the Trustee and to the Beneficiary by certified mail, return receipt requested.

27. The provisions hereof shall be deemed independent and severable, and the invalidity or partial invalidity or unenforceability of any one provision or portion hereof shall not affect the validity or enforceability of any other provision hereof. This Trust Deed shall be construed according to the laws of the State of Utah.

IN WITNESS WHEREOF, Trustor has executed this Trust Deed as of the day and year first above written.

TRUSTOR:

Nathan Trombley

Lize Trombley

Lize Trombley

STATE OF Utah)
:ss.
COUNTY OF Summit)

The foregoing instrument was acknowledged before me this ~~2nd~~ 3rd day of June, 2011, by Nathan Trombley and Lize Trombley.

Marie McClelland
NOTARY PUBLIC
Residing at: Park City, Utah

My Commission Expires: 3/30/14

Notary Public
MARIE MCCLELLAND
Commission #582217
My Commission Expires
March 30, 2014
State of Utah

EXHIBIT "A"
(Property Legal Description)

Tax Parcel/Serial No. 17-19-200-002 and 17-18-400-007

The Southeast Quarter of the Southwest Quarter of the Southeast Quarter of Section 18, Township 1 South, Range 2 East, Salt Lake Base and Meridian.
Less and Excepting therefrom the land conveyed to or condemned by the State Road Commission of Utah by the following instruments of record:
Quit-Claim Deed recorded August 7, 1948 as Entry No. 1130487 in Book 627 at Page 173 of the Official Records;
Quit-Claim Deed recorded June 30, 1955 as Entry No. 1434209 in Book 1213 at Page 258 of the Official Records;
Quit-Claim Deed recorded August 30, 1955 as Entry No. 1443908 in Book 1233 at Page 318 of the Official Records;
Quit-Claim Deed recorded July 9, 1957 as Entry No. 1546536 in Book 1427 at Page 214 of the Official Records;
Quit-Claim Deed recorded December 20, 1968 as Entry No. 2271173 in Book 2716 at Page 627 of the Official Records;
Quit-Claim Deed recorded January 29, 1969 as Entry No. 2275143 in Book 2726 at Page 39 of the Official Records;
Order of Immediate Occupancy recorded June 18, 1969 as Entry No. 2292045 in Book 2764 at Page 89 of the Official Records;
Quit-Claim Deed recorded October 10, 1974 as Entry No. 2657511 in Book 3699 at Page 431 of the Official Records;
Quit-Claim Deed recorded October 10, 1974 as Entry No. 2657512 in Book 3699 at Page 432 of the Official Records.
Also, Less and Excepting therefrom any portion lying within the bounds of Interstate 80.
Also, Less and Excepting therefrom any portion found to lie North or Northerly of the North Line of the highway known as Interstate 80.
Also, Less and Excepting therefrom any portion lying within the bounds of the Denver and Rio Grande Western Railroad Right of Way.

Lots 2 and 6, Section 19, Township 1 South, Range 2 East, Salt Lake Base and Meridian.
Less and Excepting therefrom the land conveyed to or condemned by the State Road Commission of Utah by the following instruments of record:
Quit-Claim Deed recorded August 7, 1948 as Entry No. 1130487 in Book 627 at Page 173 of the Official Records;
Quit-Claim Deed recorded October 10, 1974 as Entry No. 2657512 in Book 3699 at Page 432 of the Official Records.
Also, Less and Excepting therefrom any portion lying within the bounds of Interstate 80.
Also, Less and Excepting therefrom any portion lying within the bounds of the Denver and Rio Grande Western Railroad Right of Way.
Also, Less and Excepting therefrom the land conveyed to Parley's Canyon Water Company, LLC by that certain Special Warranty Deed recorded September 10, 1993 as Entry No. 7083037 in Book 8090 at Page 2471 of the Official Records and more particularly described as follows:
The West Half of the Northeast Quarter of the Northeast Quarter of Section 19, Township 1 South, Range 2 East, Salt Lake Base and Meridian.